

**JUSTIFICATION AND APPROVAL FOR OTHER THAN FULL AND OPEN
COMPETITION
41 U.S.C. 3304(a)(7)**

Pursuant to the requirements of the Competition in Contracting Act (CICA) as implemented by the Federal Acquisition Regulation (FAR) Subpart 6.3 and in accordance with the requirements of FAR 6.303-1, the justification for the use of the statutory authority under FAR Subpart 6.3 is justified by the following facts and rationale required under FAR 6.303-2 as follows:

1. *Agency and Contracting Activity.*

The Department of Homeland Security (DHS), U.S. Customs and Border Protection (CBP), Office of Field Operations (OFO), Non-Intrusive Inspection Program, proposes to enter into a contract on a basis other than full and open competition.

2. *Nature and/or Description of the Action being Approved.*

(a) *Nature of action*

CBP Non-Intrusive Inspection (NII) intends to procure on a sole source basis Multi-Energy Portal (MEP) Systems. Multiple contractors received an award off of the MEP Indefinite Delivery/Indefinite Quantity (IDIQ) contract - 70B03C21D00000004. This action is for the procurement of five (5) MEPs to one of the awarded contractors, Leidos, to enable CBP to perform effective and efficient non-intrusive inspection of conveyances, including occupied commercial vehicles, for contraband such as illicit drugs, terrorist weapons, and currency at locations across the Southwest Border and Northern Border.

These systems will be used for inspection of larger vehicles like buses, recreational vehicles, and truck tractors with laden semitrailers and trailers.

(b) *Name and address of the contractor.*

1) Leidos Holdings, Inc.
1750 Presidents Street
Reston, VA 20190

(c) *Contract type.*

The contract will be Firm Fixed Price.

(d) *Estimated total value.*

Period	Unit Price	Total
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Base Year Base Year 4/30/2026 – 4/29/2027		
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The MEP IDIQ was awarded on March 2, 2021. To date, two (2) task orders have been awarded to Leidos off of the IDIQ resulting in the purchase of, installation of and/or upgrades .

(e) *Type of funding.* Working Families Tax Cut (WFTC) Act.

(f) *Year of funding.*

Fiscal Year 2025. This funding is available through Fiscal Year 2028.

(g) *Solicitation number.*

20157105

(h) *Background information about the requirement.*

CBP has an ongoing operational need to inspect vehicles and cargo for illegal contraband, including narcotics and terrorist weapons. Due to the high volume of commercial vehicles passing through U.S. Ports of Entry (POE), a system allowing drivers to operate their vehicles through non-intrusive inspection (NII) X-ray systems significantly enhances the efficiency of scanning operations.

The purpose of the MEP systems is to enable CBP to conduct effective and efficient non-intrusive inspections of conveyances, including occupied commercial vehicles, for contraband such as illicit drugs, terrorist weapons, and currency. These systems are utilized to inspect larger vehicles, including buses, recreational vehicles, and truck tractors with laden semitrailers and trailers. Each system delivers NII imaging with the required quality and performance characteristics to assist CBP personnel in identifying anomalies and potential contraband within the conveyance.

3. **Description of Supplies/Services.** *Describe the supplies or services to be acquired. Include the purpose the supplies or services are intended to fulfill or the function the supplies or services provide.*

This action supports the issuance of a follow-on task order to Leidos under the competitively awarded MEP IDIQ contract 70B03C21D00000004. The task order encompasses recapitalization of the following:

- [REDACTED] system and installation of MEP systems [REDACTED]
- [REDACTED] system and installation of MEP systems [REDACTED]

These locations are prioritized to Leidos by the CBP NII program due to their ongoing construction and installation activities [REDACTED]

[REDACTED] Leidos is uniquely positioned for this requirement because they are familiar with the existing [REDACTED] and [REDACTED] equipment and possess direct experience with the operational environment and construction challenges specific to these locations.

The proposed task order will leverage Leidos' existing designs, infrastructure, and integration efforts, ensuring operational continuity and minimizing disruption. Awarding this requirement to another contractor would result in duplicative engineering and construction costs, increased schedule risk, and potential operational impacts, jeopardizing statutory deployment deadlines under the Working Families Tax Cut (WFTC) Act.

The requirement is to provide recapitalization efforts for established Non-Intrusive Inspection systems including the [REDACTED] and [REDACTED] at locations identified by the program office. Leidos originally installed the existing [REDACTED] system and possesses specialized knowledge of the systems' design, functionality, and integration within the port environment. While the contractor is not the Original Equipment Manufacturer of the [REDACTED] system, they are currently conducting construction and installation efforts at the ports of entry. This expertise, combined with the contractor's familiarity with the unique construction challenges and operational needs of the port, ensures continuity and minimizes risks associated with system upgrades or modifications.

Additionally, the contractor has established a strong rapport with port points of contact, facilitating efficient coordination and execution. Given these factors, the contractor is uniquely qualified to deliver the required MEP system installation, upgrades, and operational support within the necessary timeline, making them the only viable option to meet the program's needs effectively and without disruption.

4. ***Identification of Statutory Authority Permitting Other Than Full and Open Competition.***
*Identify the **most applicable** statutory authority that will be used to justify other than full and open competition from the seven listed under FAR 6.103.*

The statutory authority permitting other than full and open competition is 41 U.S.C. 3304(a)(1), implemented by FAR Subpart 6.103-1(b), entitled "Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements."

This authority is applicable because the contractor originally installed the existing [REDACTED] system and possesses unique expertise, proprietary knowledge, and established relationships with port points of contact. These factors make the contractor the only responsible source capable of meeting the agency's requirements efficiently and effectively within the required timeline, without incurring additional risks or costs associated with transitioning to a new contractor.

5. ***Identification of Exception to the Buy American Statute.***
No exception to the Buy American Statute is being requested for this justification and approval (J&A). The requirement complies with the Buy American Statute and does not involve the exceptions listed under FAR 25.103(b) or FAR 25.202(a)(2).
6. ***Demonstration that the proposed contractor's unique qualifications or the nature of the acquisition requires use of the authority cited.***

- (a) *Rationale for using the authority cited in section 4 of the J&A;*

The authority cited in Section 4 of the J&A, 41 U.S.C. 3304(a)(1), implemented by FAR Subpart 6.103-1(b) (FAR Class Deviation 25-11), "Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements," is applicable due to the unique qualifications of the proposed contractor and the nature of the acquisition.

This requirement is for the recapitalization and installation of MEP systems to support established NII operations at designated ports of entry. Leidos possesses extensive experience operating within port environments, including a demonstrated understanding of the unique construction challenges, operational constraints, and regulatory requirements inherent to these locations. This familiarity ensures Leidos can efficiently address unforeseen issues that may arise during the installation and upgrade process, thereby minimizing risk to project execution.

Additionally, Leidos has established strong working relationships with key port personnel and points of contact, which are critical for effective coordination and execution of the required tasks. These relationships facilitate rapid problem-solving and streamlined communication, both of which are essential for maintaining operational continuity during construction activities.

CBP has agreed to install additional systems at these ports of entry under the WFTC Act. To maximize efficiency and cost savings, CBP seeks to execute these installations concurrently with Leidos' ongoing construction activities at the affected sites. Leidos is currently mobilized at these ports and fully integrated into the existing operational environment. Engaging a new contractor at this juncture would necessitate a substantial transfer of institutional knowledge, establishment of new working relationships, and familiarization with the port environment and existing systems. This would result in significant delays, increased costs, and heightened risk to the successful and timely completion of the project.

No other contractor possesses the unique combination of qualifications, proprietary knowledge of the existing systems, and established relationships with port personnel required to fulfill the agency's requirements within the required timeline. Attempting to compete this requirement would jeopardize CBP's ability to meet critical operational and legislative deadlines, and could disrupt ongoing port operations.

For these reasons, Leidos is the only responsible source capable of meeting the agency's requirements efficiently and effectively. Full and open competition is not feasible for this procurement, as no other contractor can provide the necessary NII MEP systems and associated services without compromising operational continuity, schedule, or cost.

(b) Details covering what events lead to the situation requiring use of other than full and open competition procedures including whether any portion of the work can be segregated to allow for competition;

The requirement to recapitalize and upgrade existing NII MEP systems at designated port locations necessitates the use of other than full and open competition procedures. Leidos is already present at these ports or is scheduled to be onsite under existing contracts. They have completed detailed site surveys and system designs for the contracted NII MEP systems, giving them a distinct operational advantage. Leidos' specialized knowledge of the specific port environments, including land requirements, infrastructure, and logistical, enables them to efficiently plan and execute system installations. Their familiarity with

specific locations and integration needs ensures that any new NII MEP systems can be installed with minimal disruption.

Importantly, any current NII MEP systems are proprietary to Leidos. Introducing a new vendor at this time would not be feasible due to significant system compatibility and integration risks. A different vendor would face challenges interfacing with Leidos' proprietary technology, potentially resulting in incompatibility with existing infrastructure and operational systems. This would also require additional training for CBP personnel, further delaying deployment and increasing costs.

Leidos' ongoing engagement at these ports means they have established relationships with port authorities and key points of contact, facilitating efficient coordination and timely execution of required tasks. Their comprehensive understanding of the existing systems and site-specific operational requirements is critical to minimizing operational risks and ensuring continuity. Bringing in a new vendor at this stage would require CBP to start from ground zero, losing valuable time to transfer operational knowledge, familiarize the vendor with the systems and port environment, and establish new working relationships. This would likely result in significant project delays, increased costs, and potential disruption to mission-critical operations, jeopardizing CBP's ability to meet the WFTC Act timeline for system deployment.

After careful review, it has been determined that no portion of the work can be reasonably segregated to allow for competition. The required services are highly integrated with ongoing projects and existing site conditions. Attempting to divide the work among multiple vendors would introduce significant coordination challenges, increased risk of incompatibility, and potential impacts to operational timelines. The integration of new systems with existing proprietary infrastructure and ongoing construction activities requires a single, qualified contractor with site-specific expertise. Segregating the work would create inefficiencies, increase the risk of delays, and compromise the success of the project and the agency's mission objectives.

Therefore, the entirety of the requirement must be performed by Leidos to ensure seamless execution, operational continuity, and mission success, while minimizing risks to system compatibility, integration, and training.

1) Engaging a New Contractor Through Competitive Procurement:

This alternative was deemed impractical due to the proprietary nature of the existing systems and the unique expertise required to perform the recapitalization and upgrades. A new contractor would lack detailed knowledge of the system's design, integration, and functionality, resulting in significant risks of incompatibility, inefficiencies, and delays. Additionally, the time and resources required to transfer knowledge and familiarize a new contractor with the port environment and operational requirements would jeopardize the ability to meet the required timeline and increase costs unnecessarily.

2) Segregating Portions of the Work for Competition:

Segregating portions of the work was considered but ultimately rejected. The proprietary nature of the systems and the need for seamless integration make it impractical to separate any portion of the work for competitive procurement. Doing so would introduce risks of system incompatibility, operational disruptions, and inefficiencies, undermining the success of the project.

3) Deferring the Requirement to Allow for Competitive Procurement:

Deferring the requirement to allow time for a competitive procurement process was also considered. However, this alternative would result in unacceptable delays that would negatively impact operational readiness and mission objectives. The recapitalization efforts are time-sensitive and critical to maintaining system functionality and operational continuity.

[REDACTED] f the process does not begin now, it will be impossible to meet this statutory requirement. The timeline mandated by the Act further underscores the urgency and necessity of proceeding without delay.

After evaluating these alternatives, it was determined that none would adequately meet the agency's requirements without introducing significant risks, delays, or additional costs. The proposed contractor is the only responsible source capable of fulfilling the requirement efficiently and effectively within the required timeline.

- (c) *Impact to the mission that would result if the J&A is not approved and, consequently, the product or service not provided.*

Failure to approve the J&A and consequently procure the required Multi-Energy Portal (MEP) systems would significantly hinder CBP's ability to perform effective and efficient non-intrusive inspections of conveyances, including occupied commercial vehicles, for contraband such as illicit drugs, terrorist weapons, and currency. This would directly impact CBP's operational readiness and its ability to secure U.S. Ports of Entry (POE) against threats.

The original equipment manufacturers (OEMs) no longer provide parts or maintenance support for the existing systems. Without the recapitalization and upgrades to the existing systems, CBP would face delays in inspections, reduced operational efficiency, and increased risks of contraband entering the country undetected. The inability to meet the required timeline for system upgrades would compromise the agency's mission to safeguard national security and public safety, while also increasing the likelihood of operational disruptions and inefficiencies at critical POE locations.

- (d) *Rational for use of the nonavailability exception to the Buy American statute, including detailed information explaining why the particular articles, materials, or supplies of the class or kind to be acquired, either as end items or components, are not mined, produced, or manufactured in the United States in sufficient and reasonably available commercial*

quantities and of a satisfactory quantity (Section is required to be completed when the J&A includes the exception listed under FAR 25.103(b)(2) or FAR 25.202(a)(2)).

Not applicable.

7. *Description of Efforts Made to Ensure that Offers are Solicited from as Many Potential Sources as is Practicable.*

(a) If an announcement has already been made in SAM.gov, provide the date of publication;

An announcement was not made in SAM.gov for this specific task order because the requirement is being fulfilled under an existing multiple-award IDIQ contract. The original IDIQ contract was competitively awarded on March 1, 2021, to three vendors—Leidos, Rapiscan, and Smiths Detection—using full and open competition. Subsequent delivery orders under the IDIQ are issued in accordance with Fair Opportunity procedures as outlined in FAR 16.506(b) (FAR Class Deviation 26-04).

(b) If an announcement is being planned for posting in SAM.gov, provide the estimated date of publication.

No new announcement is planned for publication in SAM.gov for this delivery order, as it falls under the scope of the existing IDIQ contract.

(c) If an announcement will be published, identify the applicable exception under FAR 5.302.

An exception to publicizing this requirement applies under FAR 5.202(a)(6), which exempts actions under an existing indefinite-delivery contract that was previously awarded through full and open competition. The original IDIQ contract was publicly announced and competed, ensuring that offers were solicited from as many potential sources as practicable at that time.

8. *Determination by the Contracting Officer that the Anticipated Cost to the Government will be Fair and Reasonable.*

The proposed task order is being issued under the existing IDIQ contract, which was competitively awarded on March 1, 2021, to three vendors—Leidos, Rapiscan, and Smiths Detection—using full and open competition. The pricing structure established under the IDIQ contract was determined to be fair and reasonable at the time of award. The proposed task order pricing aligns with the rates and terms negotiated under the IDIQ contract.

Additionally, the Contracting Officer will review and evaluate the cost breakdown for the task order as provided by the contractor, including unit prices, labor rates, and material costs, and determined if the proposed pricing is reasonable given the scope of work, technical complexity, and operational requirements.

9. Description of Market Research.

(a) Describe the market research techniques utilized, the specific results of the market research, the date when the market research was conducted, and how the market research was used by the contracting officer to determine price reasonableness.

The U.S. Customs and Border Protection (CBP) Non-Intrusive Inspection (NII) Program Management Office (PMO) conducted extensive market research to determine the IDIQ award in accordance with FAR Part 10. The techniques utilized included:

- Internet Research: CBP conducted searches to identify vendors capable of delivering Multi-Energy Portal (MEP) systems that meet agency requirements.
- Historical Contract Data: CBP reviewed past contract awards for similar systems, including the MEP and Low Energy Portal (LEP) systems, to develop an Independent Government Cost Estimate (IGCE).
- Technology Demonstrations: Vendors participated in demonstrations at various locations, including Rapiscan/AS&E (World Trade Bridge), Leidos (Veterans Bridge), and L3 (Savannah Seaport).
- Draft Requests for Proposals (RFPs): CBP issued two Draft RFPs in FY 2017 and FY 2020 to gauge vendor interest and capability. The FY 2020 presolicitation notice (NII-MEP-051219 DAR) resulted in responses from four large vendors: Leidos, Rapiscan/AS&E, Smiths Detection, and L3.
- Follow-Up Survey: A follow-up survey conducted in April 2020 identified three vendors—Rapiscan, Leidos, and L3—offering systems that could be reasonably modified to meet CBP's requirements.

The results of the market research revealed that while no vendor solution met all requirements as-is, reputable firms could deliver production-ready systems with modifications. CBP identified three viable vendors (Leidos, Rapiscan, and Smiths Detection) capable of fulfilling the requirements, and the initial IDIQ contract was competitively awarded to these vendors on March 1, 2021. The systems procured under the original IDIQ, as a result of this market research, have met the functional requirements of CBP.

(b) Describe the market research results that support the determination that the items are nonavailable (Section is required to be completed when the J&A includes the exception listed under FAR 25.103(b)(2) or FAR 25.202(a)(2)).

This section is not applicable, as the procurement complies with the Buy American statute and no exception under FAR 25.103(b)(2) or FAR 25.202(a)(2) is being requested. Market research confirmed that sufficient domestic sources are available to meet CBP's requirements.

(c) If market research was not conducted, a reason for its absence must be cited here.
Not Applicable.

- (d) If patents, copyrights, and/or intellectual property are applicable to the acquisition, describe the circumstances for acquiring a patented or copyrighted product on the representation of the intellectual property holder that has not been licensed for resale.*

Not Applicable.

10. Any Other Facts Supporting the Use of Other Than Full and Open Competition.

- (a) An explanation why technical data packages, specifications, statement of work, or purchase descriptions are not suitable for full and open competition.*

This task order is being issued under the legacy MEP IDIQ contract, which was competitively awarded on March 1, 2021, to three vendors: Leidos, Rapiscan, and Smiths Detection. The technical data packages and specifications for the MEP systems were developed in collaboration with these vendors as part of the IDIQ contract. Because the task order is tied to the IDIQ, the technical data and specifications are specific to the awarded contractors and cannot be used to solicit offers from other vendors without breaching the terms of the IDIQ or incurring significant risks to operational continuity.

- (b) Discuss why your requirement cannot be modified to enhance competition.*

The requirement cannot be modified to enhance competition because this task order is being issued under the terms of the IDIQ contract. The IDIQ was competitively awarded using full and open competition to ensure that all qualified vendors had an opportunity to participate. Under the IDIQ structure, delivery orders are issued to the awarded contractors in accordance with Fair Opportunity procedures. Modifying the requirement to allow for competition outside the IDIQ would violate the terms of the contract and undermine the procurement strategy established to meet CBP's long-term operational needs.

CBP remains committed to maximizing competition in future procurements. To that end, CBP is actively developing a new requirements package for the procurement of MEP systems, which will be solicited and awarded using full and open competition. [REDACTED]

[REDACTED] In the interim, this task order is critical for ensuring CBP can procure the required MEP systems now and meet the funding and deployment timelines established under the WFTC Act. This approach enables CBP to maintain operational continuity and fulfill mission objectives while preparing for enhanced competition in future acquisitions.

- (c) For a proposed contract subject to the restrictions of FAR 6.103 (FAR Class Deviation 25-11) for follow-on acquisitions as described in 6.103-1(c)(2)(i) (FAR Class Deviation 25-11), all Components must provide an estimate of the cost to the Government that would be duplicated and detailed information on how the estimate was derived*

This task order is a follow-on action under the legacy IDIQ contract, and transitioning to a new contractor outside of the IDIQ would result in significant duplicated costs. These costs include:

- Re-engineering Costs: Developing new systems to meet CBP's specifications, [REDACTED].
- Integration Costs: Re-integrating new systems with existing infrastructure at Ports of Entry (POEs), [REDACTED].
- Training Costs: Retraining CBP personnel to operate and maintain new systems, [REDACTED].
- Operational Downtime: Delays in deployment and operational readiness, resulting in potential mission impacts and increased risks at POEs.

These estimates are based on historical data from similar acquisitions and the costs associated with transitioning to a new contractor. By issuing this task order under the legacy IDIQ, CBP avoids these duplicated costs and ensures continuity of operations.

(d) For a proposed contract subject to the restrictions of FAR 6.103-2(c) (FAR Class Deviation 25-11) or HSAR 3006.103-2(c)(70) (HSAR Class Deviation 25-01) and where FAR 6.103-2 (FAR Class Deviation 25-11) is cited as the authority, describe the exceptional circumstances allowing for an award for a period of performance in excess of the one-year limitation (applicable to all federal agencies) or the DHS-specific statutory 150-day limitation

This acquisition is not subject to the restrictions of FAR 6.103-2(c) (FAR Class Deviation 25-11) or HSAR 3006.103-2(c)(70) (HSAR Class Deviation 25-01) for unusual and compelling urgency. As this task order is being issued under the IDIQ contract, the period of performance aligns with the terms and conditions of the IDIQ, and no exceptional circumstances requiring an extension apply.

11. A Listing of the Sources, if Any That Expressed, in Writing, an Interest in the Acquisition.

Not Applicable. This task order is being issued under the MEP IDIQ contract, which was competitively awarded on March 1, 2021, to three vendors: Leidos, Rapiscan, and Smiths Detection. As this acquisition falls under the scope of the existing IDIQ, no additional sources were solicited or requested to express interest in writing.

12. A Statement of the Actions, if Any, the Agency May Take to Remove or Overcome Any Barriers to Competition Before Any Subsequent Acquisition for Supplies or Services Required.

(a) Will the Government revise overly technical specifications, acquire data rights, etc?

This task order is being issued under the MEP IDIQ contract, which was competitively awarded on March 1, 2021, to three vendors: Leidos, Rapiscan, and Smiths Detection. The IDIQ structure was designed to promote competition among the awardees for subsequent delivery orders under Fair Opportunity procedures, ensuring that barriers to competition are minimized within the scope of the IDIQ.

For future acquisitions beyond the scope of the current IDIQ, CBP will take the following actions to increase competition:

- **Market Research:** CBP will conduct updated market research to identify additional vendors capable of meeting the agency's requirements for Multi-Energy Portal (MEP) systems, including assessing emerging technologies and solutions that may expand the pool of qualified sources.
- **Specification Review:** CBP will review and revise overly technical specifications, if applicable, to ensure that requirements are not unnecessarily restrictive and allow for broader vendor participation.
- **Data Rights Acquisition:** CBP will evaluate whether acquiring data rights or technical documentation from the current vendors would enable other contractors to compete for future requirements without compromising system performance or operational continuity.
- **Small Business Outreach:** CBP will continue to engage with the Small Business Office to explore opportunities for small business participation, including subcontracting plans and partnerships with larger vendors.

The IDIQ contract remains an effective mechanism for promoting competition among the awarded vendors, and CBP will continue to leverage this structure to meet emergent and future needs while exploring ways to enhance competition for subsequent acquisitions.

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